Sector Underwriting Note: Auto Components

ASHVA CAPITAL CREDIT POLICY MANUAL
SECTION 14: SECTOR UNDERWRITING NOTE – AUTO COMPONENTS SME
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14.1 PURPOSE AND APPLICABILITY This section governs all credit underwriting for Small and Medium Enterprise (SME) borrowers operating within the Auto Components manufacturing and tier-2/tier-3 supply chain sub-sectors. Underwriters deviate from these provisions only via formal exception memorandum approved by the Credit Committee under Clause 14.7.

14.2 WORKING CAPITAL CYCLE DYNAMICS 1. Operating Cycle Benchmark: The typical working capital cycle for the Auto Components sector is 80 days, calculated as Days Inventory Outstanding (DIO) plus Days Sales Outstanding (DSO) minus Days Payable Outstanding (DPO). 2. Cycle Variance Threshold: Any borrower whose working capital cycle exceeds 115 days requires mandatory forensic review of inventory obsolescence and receivables aging by the Credit Risk Unit prior to facility sanction. 3. Receivables Cap: Receivables aged over 90 days from the invoice date are excluded from drawing power calculations for revolving credit facilities.

14.3 DEBT SERVICE COVERAGE RATIO (DSCR) FLOOR 1. Sector Minimum: Notwithstanding the general baseline of 1.25x stipulated in Section 4, all Auto Components SME facilities are subject to a mandatory DSCR floor of 1.35x across the projected tenor, calculated on a post-tax and post-maintenance capital expenditure basis. 2. Buffer Requirement: Term loans must maintain a minimum tail period of 12 months beyond the final maturity of the underlying OEM (Original Equipment Manufacturer) supply contract.

14.4 SEASONALITY ADJUSTMENTS 1. Peak Operating Window: The sector experiences its primary seasonal peak between July to September, driven by tier-1 inventory build-up ahead of the domestic festive retail cycle. 2. Drawing Power Enhancement: During the seasonal peak window (July to September), revolving credit limits may be temporarily increased by up to 15 percent upon submission of confirmed purchase orders from Tier-1 or OEM entities rated Investment Grade (BBB- or higher). 3. Off-Season De-escalation: Ad-hoc seasonal limits must be fully repaid or collateralized by cash margin no later than 30 November of the operational year.

14.5 CAUSES OF DISTRESS Underwriters shall specifically evaluate and stress-test facilities against the two primary causes of distress identified in this sector: 1. OEM Concentration Risk: Over-reliance on a single OEM client where

revenue contribution exceeds 40 percent of gross annual turnover. Facilities with single-OEM exposure exceeding this threshold require secondary supplier verification and a minimum 20 percent cash margin retention. 2. Raw Material Price Volatility: Unhedged exposure to primary alloy and polymer price fluctuations. Underwriters must model a minimum 15 percent compression in gross margins resulting from raw material cost escalation without corresponding OEM price-reset clauses.

14.6 COLLATERAL ACCEPTABILITY 1. Primary Security: Exclusive hypothecation over plant, machinery, and moveable fixed assets, valued by an Ashva Capital-empanelled valuer at a maximum of 75 percent of Net Orderly Liquidation Value (NOLV). 2. Secondary Security: Equitable mortgage on industrial land and factory buildings with a minimum collateral cover ratio of 1.20x against total credit exposure. Residential or commercial properties owned by promoters are acceptable only as collateral supplements and shall not satisfy the primary industrial mortgage requirement. 3. Current Assets: First pari-passu charge on all current assets (inventories and book debts) with an asset coverage ratio not less than 1.30x.

14.7 PORTFOLIO EXPOSURE LIMITS 1. Book Cap: Aggregate exposure to the Auto Components sector shall not exceed 13 percent of Ashva Capital's total active loan book. 2. Current Portfolio Status: As of the effective date of this manual, current sector exposure stands at 12.1 percent of the loan book, leaving a residual underwriting headroom of 0.9 percent. Once the portfolio reaches 12.8 percent, automatic referral to the Chief Credit Officer is triggered for pipeline throttling. 3. Maximum Tenor: The maximum allowable credit tenor for term facilities in this sector is 60 months, inclusive of any moratorium periods.

14.8 NAMED EXCEPTIONS AND ESCALATIONS 1. Underwriter Discretion: Regional Credit Managers may approve deviations up to a maximum of 5 basis points on the DSCR floor (permitting a floor of 1.30x) only if the borrower demonstrates zero debt default history over the preceding 36 months and maintains a liquid debt service reserve account (DSRA) equivalent to 6 months of principal and interest obligations. 2. Prohibited Deviations: No underwriter, Regional Credit Manager, or Credit Committee member below the level of the Chief Credit Officer and Chief Executive Officer acting jointly may authorize an

exception to the maximum tenor cap of 60 months or exceed the portfolio exposure cap of 13 percent.